

second. The stock continued lower, to 11.10 in just over 3 months for a drop of 18% from my sale price.

In this case, the entry was perfect. The exit was a bit late, but I sold near the top. I don't see anything wrong with these two trades.

Hercules Inc.

In Hercules Inc. (HPC), the stock formed a pipe bottom in 2007 as part of a retrace in an upward price trend. According to my spreadsheet of trades, I made a perfect entry and perfect exit. I bought the stock the third week after the pipe ended. However, looking at the chart and reading my notes, I called it a *potential* pipe bottom because it hadn't confirmed when I bought it. Fortunately, it confirmed later that week.

- Lesson: It's best to trade only confirmed chart patterns.

I placed a volatility stop and continued to raise it as price climbed.

When the general market (Dow industrials) slid over 500 points over two days, the receding tide sucked me out of the trade (price hit my stop) for a small profit. Here's what I wrote about the exit: "Lesson: If this is a short-term trade with a price target, set a limit order to sell at the target or maybe sell half at the target and ride the rest higher."

Had I done that, I'd have made a bit more. I like the idea of selling a portion of the position at the target and holding the rest for additional gains.

- Lesson: For short-term swing trades, set a limit order to sell at the target price.
- Lesson: For short-term swing trades, consider selling a portion (like half) of the position at the target and holding onto the rest to see if price continues to trend in your favor.

Hi-tech Pharmacal

Hi-tech Pharmacal (HITK) in 2007 was like I was asking to be taken to the woodshed and beaten to a pulp. My notes on the analysis of the company and the setup were filled with warnings. The company settled a patent lawsuit by paying \$2.5 million (I don't like to find litigation notes in